

Social security in India



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Chapter 1: The Employees' Compensation Act, 1923

This Act, originally known as the Workmen's Compensation Act, established a statutory, no-fault liability system for employers to compensate workers for injuries or death sustained during employment.

1.1 Genesis, Objectives, and Significance

The Act was a pioneering effort that shifted the legal framework from a fault-based system, where workers had to prove employer negligence, to a principle of employer liability. The primary objectives are:

Financial Protection: To provide financial compensation to employees or their dependents for death, injury, or occupational disease arising from employment.

No-Fault" Liability: An employee is entitled to compensation if the injury is work-related, regardless of whether the employer was at fault.

Speedy Dispute Resolution: It established Commissioners for Employee's Compensation to handle claims, bypassing the civil courts.

Workplace Safety: By making employers financially liable, the Act creates an incentive for them to maintain a safe working environment.

1.2 Scope, Applicability, and Key Definitions

The Act applies to the whole of India and covers a wide range of industries, including factories, mines, and construction. It generally covers establishments employing 10 or more people and includes various types of workers like full-time, part-time, and casual employees.

Key definitions from the Act include:

Dependant (Section 2(1)(d)): This includes a widow, minor legitimate or adopted son, unmarried legitimate or adopted daughter, and widowed mother. Other relatives who were financially dependent on the employee at the time of death may also be considered.

Employer (Section 2(1)(e)): The definition is comprehensive and includes a managing agent and a principal employer for workers engaged through a contractor.

Disablement:

Total Disablement (Section 2(1)(I)): Incapacitates an employee for all work they were capable of performing. Certain severe injuries are statutorily deemed as permanent total disablement.

Partial Disablement (Section 2(1)(g)): Reduces an employee's earning capacity. This can be temporary or permanent.

1.3 The Principle of Employer's Liability

An employer is liable to pay compensation if a "personal injury is caused to an employee by accident arising out of and in the course of employment". There are narrow exceptions where an employer is not liable, such as when an injury does not result in disablement for more than three days, or if the injury is directly attributable to the employee being under the influence of drugs or willfully disobeying safety orders. The Doctrine of Notional Extension has expanded the interpretation of "in the course of employment". The Supreme Court has ruled that accidents occurring during an employee's commute can be considered as having arisen out of and in the course of employment if a clear link is established.

1.4 Compensation Framework

The Act provides a formulaic approach to calculating compensation, as detailed in Section 4 and Schedule IV.

Death: Compensation is 50% of monthly wages multiplied by a relevant factor or a statutory minimum of Rs. 1,20,000, whichever is more.

Permanent Total Disablement: Compensation is 60% of monthly wages multiplied by a relevant factor or a statutory minimum of Rs. 1,40,000, whichever is more.

Permanent Partial Disablement: A percentage of the permanent total disablement amount, based on the loss of earning capacity.

Temporary Disablement: A half-monthly payment of 25% of the monthly wages, payable for the duration of the disablement or a maximum of five years.

Lump sum compensation for a deceased employee or a woman must be deposited with the Commissioner for distribution to the dependents.

1.5 Key Amendments

The Employee's Compensation (Amendment) Act, 2017, introduced significant changes:

Duty to Inform: Employers are now required to inform employees of their compensation rights in writing and through electronic means.

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Enhanced Penalties: The minimum fine for contraventions was raised to Rs. 50,000, which can be extended up to Rs. 1,00,000.

Revised Appeal Threshold: The minimum amount in dispute for a High Court appeal was raised from Rs. 300 to Rs. 10,000 to reduce frivolous litigation.

Chapter 2: The Employees' State Insurance Act, 1948

The ESI Act is an integrated social insurance scheme, providing a comprehensive safety net for employees and their families in the organized sector. The scheme is self-financing through contributions from employers and employees.

2.1 Coverage, Applicability, and Eligibility

The Act initially applies to non-seasonal factories employing 10 or more persons. State Governments can extend its provisions to other establishments like shops, hotels, and educational institutions.

Wage Ceiling: Employees with a monthly wage of up to Rs. 21,000 are covered (increased from Rs. 15,000 in 2017). The ceiling for persons with disabilities is higher at Rs. 25,000.

2.2 The ESI Corporation (ESIC)

The ESI scheme is administered by a statutory body, the Employees' State Insurance Corporation (ESIC), which is a tripartite body with representatives from the government, employers, and employees. The Union Minister for Labour and Employment is the Chairman of the ESIC. The ESIC manages the ESI Fund, provides medical benefits, and enforces compliance through Social Security Officers.

2.3 Contributions and Funding

The scheme is funded by contributions from employers and employees. As of July 1, 2019, the rates are:

Employer's Contribution: 3.25% of wages (reduced from 4.75%).

Employee's Contribution: 0.75% of wages (reduced from 1.75%).

Employees with a daily average wage up to Rs. 176 are exempt from paying their contribution. The term 'wages' for contribution purposes includes all remuneration in cash, such as basic pay and dearness allowance, but excludes contributions to provident funds and travel allowances.

2.4 Spectrum of Benefits (Section 46)

The ESI Act provides a comprehensive package of six main social security benefits:

Medical Benefit: Provides full medical care to the insured person and their family from the first day of employment.

Sickness Benefit: A cash benefit of 70% of the average daily wages for a maximum of 91 days.

Maternity Benefit: Paid at 100% of the average daily wages for a period of up to 26 weeks for the first two children.

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Disablement Benefit: Includes Temporary Disablement Benefit (TDB) at 90% of wages and Permanent Disablement Benefit (PDB), which is a monthly pension for life.

Dependants' Benefit (DB): A monthly pension to the dependents of an insured person who dies due to an employment injury.

Other Benefits: The scheme also provides for funeral expenses (currently Rs. 15,000) and unemployment allowances under specific schemes.

Other Social Security Laws

The documents also briefly mention other key social security laws in India:

The Employees' Provident Funds & Miscellaneous Provisions Act, 1952: This Act created a framework for retirement savings, pensions, and life insurance. It is administered by the Employees' Provident Fund Organisation (EPFO).

The Maternity Benefit Act, 1961: This Act governs maternity benefits, including leave duration and a crèche facility for establishments with 50 or more employees. The 2017 amendment increased the maternity leave duration to 26 weeks and introduced provisions for commissioning and adoptive mothers.

The Payment of Gratuity Act, 1972: This Act mandates the payment of gratuity. The maximum amount of gratuity was increased to Rs. 20 lakh by the Payment of Gratuity (Amendment) Act, 2018.

The Unorganised Workers' Social Security Act, 2008: This Act was created to provide a legislative framework for the social security of workers in the unorganized sector, which makes up over 90% of the workforce. It established National and State Social Security Boards to recommend and implement welfare schemes.

The Building and Other Construction Workers' Welfare Cess Act, 1996: This Act levies a cess (tax) on the cost of construction to fund welfare schemes for construction workers, who are a vulnerable segment of the unorganized sector.

Chapter 3: The Employees' Provident Funds & Miscellaneous Provisions Act, 1952

This is one of the most crucial social security laws in India, providing a comprehensive retirement benefits scheme for employees. It's administered by the Employees' Provident Fund Organisation (EPFO).

3.1 Schemes under the Act

The Act is a master legislation that governs three key social security schemes:

The Employees' Provident Fund (EPF) Scheme, 1952: A mandatory savings scheme where both the employer and employee contribute a fixed percentage of wages. The accumulated corpus, along with interest, is paid as a lump sum upon retirement or resignation.

The Employees' Pension Scheme (EPS), 1995: This scheme provides a monthly pension to employees upon superannuation at age 58, or to their family in case of death. While the employee does not contribute, a portion of the employer's contribution (currently 8.33%) is diverted to this scheme. The Central Government also contributes 1.16% of the employee's salary.

The Employees' Deposit Linked Insurance (EDLI) Scheme, 1976: This scheme provides a lump sum benefit to the nominee or legal heir of an employee in case of death while in service. The employer is required to contribute to this scheme, while employees are not.

3.2 Contributions and Wage Ceiling

Contribution: The mandatory contribution rate is 12% of the employee's basic wages plus dearness allowance from both the employer and the employee.

Wage Ceiling: While there is no statutory wage ceiling for contributions, the pensionable salary for the EPS is capped at ₹15,000 per month. For employees earning more than this, contributions to the EPS are based on this cap unless the employer and employee have jointly opted for a higher contribution.

Chapter 4: The Maternity Benefit Act, 1961

This Act aims to protect the employment of women during maternity by providing a full paid leave for a specific period. It is applicable to every establishment employing 10 or more people.

4.1 Key Provisions and Benefits

Maternity Leave: The Maternity Benefit (Amendment) Act, 2017, increased the paid maternity leave duration from 12 to 26 weeks for the first two children. For women with two or more surviving children, the leave duration is 12 weeks.

Adoptive and Commissioning Mothers: The amendment introduced a 12-week maternity leave for adoptive mothers (for a child under three months) and commissioning mothers.

Medical Bonus: A cash benefit of ₹3,500 is provided if the employer does not offer free pre-natal and post-natal care.

Work-from-Home Option: The Act allows women to work from home after the maternity leave period, based on a mutual agreement with the employer.

Crèche Facility: Every establishment with 50 or more employees is mandated to provide a crèche facility. Women are allowed to visit the crèche up to four times a day, which includes their rest intervals.

Chapter 5: The Payment of Gratuity Act, 1972

This Act provides a legal right to gratuity, which is a one-time lump sum payment made by an employer to an employee as a token of appreciation for long-term service.

5.1 Eligibility and Calculation

Eligibility: An employee becomes eligible for gratuity after completing a minimum of five years of continuous service with the same employer. This condition is waived in the case of death or permanent disablement.

Applicability: The Act applies to factories, mines, oilfields, plantations, ports, railway companies, and shops or establishments employing 10 or more persons.

Formula: Gratuity is calculated using the formula:

$$(\text{Last drawn salary} \times 15 \text{ days} \times \text{Number of completed years of service}) / 26$$

Here, 'last drawn salary' includes basic pay and dearness allowance.

Any service period of more than six months in the final year is rounded up to a full year for calculation purposes.

Maximum Limit: The maximum amount of gratuity payable was increased from ₹10 lakh to ₹20 lakh by the Payment of Gratuity (Amendment) Act, 2018.

Chapter 6: Social Security for Unorganized Workers

The documents you provided mentioned the challenges of providing social security to the vast unorganized sector. The government has attempted to address this through various legislations and schemes.

6.1 The Unorganised Workers' Social Security Act, 2008

This was a landmark Act that provided a legislative framework for the social security of workers in the unorganized sector.

Objective: To provide welfare schemes related to life and disability cover, health and maternity benefits, old age protection, and other benefits.

Administrative Body: The Act mandated the creation of National and State Social Security Boards to formulate and monitor welfare schemes for unorganized workers.

Status: While it laid the groundwork, the Act has now been subsumed into the Code on Social Security, 2020, which aims to consolidate and simplify all social security laws in India.

Chapter 6 the Building and Other Construction Workers' Welfare Cess Act, 1996

This Act addresses the specific vulnerabilities of construction workers, who are a significant part of the unorganized sector.

Objective: To raise a welfare fund for construction workers by levying a cess on the cost of construction projects.

Cess Collection: A cess of 1% of the total cost of construction is collected from the employer.

Welfare Benefits: The funds collected are used to provide benefits like old age pension, educational assistance for children, financial aid in case of accidents, health and maternity benefits, and group insurance.

Administration: State-level Building and Other Construction Workers' Welfare Boards are responsible for the registration of workers and the administration of these welfare schemes.

Chapter 7: The Code on Social Security, 2020

This is the most significant recent development in India's social security framework. The Code on Social Security, 2020, consolidates and replaces nine existing laws, including the ones previously discussed. Its primary aim is to simplify the complex web of labor laws and extend social security coverage to a wider range of workers, including those in the unorganized sector.

7.1 The Nine Laws Consolidated

The Code on Social Security, 2020, brings together the following acts into a single legislative framework:

The Employees' Compensation Act, 1923

The Employees' State Insurance Act, 1948

The Employees' Provident Funds and Miscellaneous Provisions Act, 1952

The Employees Exchange (Compulsory Notification of Vacancies) Act, 1959

The Maternity Benefit Act, 1961

The Payment of Gratuity Act, 1972

The Cine-workers Welfare Fund Act, 1981

The Building and Other Construction Workers Welfare Cess Act, 1996

The Unorganised Workers' Social Security Act, 2008

7.2 Key Changes and Features

Universal Coverage: The Code aims to extend social security benefits to all employees and workers, regardless of the size or nature of their establishment. It includes new categories of workers such as gig workers and platform workers, which were previously left out of the formal social security net.

Uniform Wage Definition: The Code introduces a single, uniform definition of 'wages' for all social security purposes, which is a major departure from the differing definitions in the older laws. This is expected to simplify compliance and prevent discrepancies. The new definition stipulates that exclusions (such as allowances) cannot exceed 50% of the total remuneration. Any amount above this limit is added back to the 'wages' for benefit calculations, which can lead to a higher provident fund and gratuity contribution.

Fixed-Term Employees: Fixed-term employees are now entitled to the same social security benefits as permanent employees, including provident fund, gratuity, and health insurance.

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Registration and Compliance: The Code mandates the Aadhaar-based registration of all eligible workers, simplifying the process and creating a national database for targeted delivery of benefits.

Social Security Fund: Both the Central and State Governments are empowered to set up a Social Security Fund to provide welfare benefits to unorganized, gig, and platform workers.

Chapter 8: Detailed Provisions of the Maternity Benefit Act, 1961

8.1 Eligibility and Conditions

A woman must have worked for at least 80 days in the 12 months immediately preceding her expected delivery date to be eligible for maternity benefits.

8.2 Paid Leave and Other Benefits

Medical Bonus: A cash benefit of ₹3,500 is payable to the woman if no pre-natal and post-natal care is provided by the employer free of charge.

Nursing Breaks: The Act mandates that a woman returning to work after childbirth is entitled to two nursing breaks during her daily work schedule until her child reaches the age of 15 months. These breaks are in addition to the regular rest intervals.

No Dangerous Work: An employer cannot require a pregnant woman to perform work that is arduous, involves long hours of standing, or is in any way likely to affect her health or the pregnancy.

Chapter 9: Detailed Provisions of the Payment of Gratuity Act, 1972

9.1 Gratuity Calculation for Different Workweeks

The standard formula for gratuity calculation is based on a 26-day month. However, for employees in industries with a different workweek, the calculation is adjusted:

For employees in mines, a year of service is considered 190 days.

9.2 Circumstances for Payment

Gratuity is payable to an employee upon:

Superannuation (retirement at a specific age).

Retirement or resignation after completing five years of continuous service.

Death or disablement due to accident or disease (in which case the five-year service condition is not applicable).

The gratuity is paid to the nominee or legal heir.

Chapter 10: The Employees' Provident Funds & Miscellaneous Provisions Act, 1952

10.1 Universal Account Number (UAN)

To simplify the management of provident fund accounts, EPFO assigns a unique, 12-digit Universal Account Number (UAN) to every employee. The UAN serves as an umbrella for multiple member IDs, making it easier to transfer funds and manage accounts when an employee changes jobs.

10.2 Voluntary Provident Fund (VPF)

Employees have the option to voluntarily contribute more than the statutory 12% to their provident fund. This is known as a Voluntary Provident Fund (VPF), and the additional contributions also earn tax-free interest, providing a greater retirement corpus.

Key Revision points (Selected Acts)

1. Employees' Provident Funds & Miscellaneous Provisions Act, 1952

Objective

- To provide compulsory savings for employees in the form of retirement benefits.
- Covers three schemes: EPF, EPS, EDLI.

Applicability

- Establishments with 20 or more employees (some exemptions).
- Employees with wages up to ₹15,000 must become members (compulsory).

Schemes

1. EPF Scheme, 1952
 - Contribution: 12% Employee + 12% Employer of wages.
 - Lump sum on retirement, plus partial advances (marriage, education, house, medical, unemployment).

2. Employees' Pension Scheme (EPS), 1995

- Employer's 8.33% of wages (up to ₹15,000) goes here.
- Formula:

$$\text{Pension} = \text{Pensionable Salary} \times \text{Pensionable Service} \{70\}$$

- Minimum 10 years' service required for pension.

3. Employees' Deposit Linked Insurance (EDLI), 1976

- Employer pays 0.5% of wages.
- Benefit: Insurance payout linked to last 12 months' salary ($\approx 35 \times \text{salary}$).

Administration

- Managed by EPFO under Ministry of Labour & Employment.
- Central Board of Trustees (CBT) supervises.

Importance in Exam

- Formulas (EPS pension, Gratuity, Compensation) are often asked.
 - Contribution % breakup is most tested.
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2. Employees' State Insurance Act, 1948 (ESI)

Objective

- Provides medical care + cash benefits to workers and families during sickness, maternity, injury, or death.

Applicability

- Factories and notified establishments.
- Employees earning $\leq$ wage ceiling (₹21,000 per month as per latest).

Benefits

- Medical Benefit – full medical care for insured person + dependants.
- Sickness Benefit – 70% of wages (cash) during certified sickness (max 91 days/year).
- Maternity Benefit – 26 weeks' leave with pay.
- Disablement Benefit – 90% of wages during disablement.
- Dependants Benefit – pensions to dependants on death due to employment injury.
- Funeral & Other Benefits – lump sum funeral expenses, vocational rehab, unemployment allowance.

Contribution Rates (since 2019)

- Employer: 3.25%
- Employee: 0.75%

3. Payment of Gratuity Act, 1972

Objective

- Provides a lump sum financial reward to employees as gratitude for long service.

Eligibility

- Minimum 5 years' continuous service (except in death/disability).
- Fixed-term employees (after Code, 2020) eligible on pro-rata basis.

Formula

Gratuity = Last drawn salary $\times$ (15/26) $\times$ Years of service

- Salary = Basic + DA.
- 15/26 = 15 days' wages for each year of service.

Ceiling

- Maximum gratuity: ₹20 lakh.
-

4. Maternity Benefit Act, 1961

Objective

- Protects employment of women during maternity and provides full-paid leave.

Benefits

- Maternity leave: 26 weeks (max 8 weeks before delivery).
- Medical bonus (if employer doesn't provide free medical care).
- Prohibition of dismissal during maternity.
- Crèche facility: for establishments with ≥ 50 employees (2017 amendment).

Eligibility

- Woman must have worked ≥ 80 days in preceding 12 months.
-

5. Employees' Compensation Act, 1923

Objective

- Provides compensation to workers or dependants for injury/death arising out of employment.

Features

- No fault liability: employer must pay compensation even if not negligent.
- Compensation for:
- Death
- Permanent total/partial disablement
- Temporary disablement
- Occupational diseases
- Formulae use wage $\times$ percentage $\times$ factors (given in